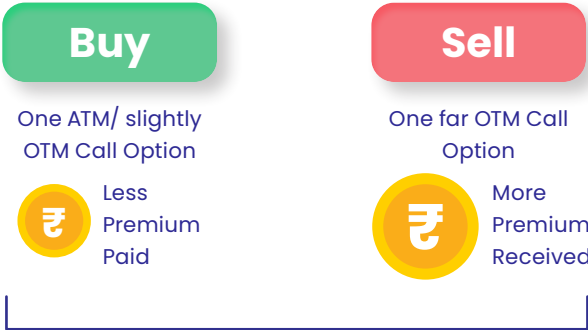


4.1.1 Bull call spread

When using the bull call spread, you don't buy a single call option. Instead, you will buy one ATM or slightly OTM call option and sell a far OTM call option. Since you receive a premium from one option, the total option premium you pay will be lower. It limits your risks but also reduces your reward.



Therefore, net premium paid is less

Note that this strategy requires you to post margins.

This strategy is suitable when you expect the market to rise, but there is a strong ceiling. It also protects you from theta decay. This strategy mitigates the loss in value due to a drop in volatility.

Example: Suppose you have a bullish stance. You believe that Nifty will increase but not beyond 25,200. Hence, you execute the following strategy.

Particulars	Strike Price	Price
Nifty call bought	25,000	₹125
Nifty call sold	25,200	₹50

Here, the margin required is ₹40,000.

Since we paid ₹125 and received ₹50, our net premium paid is ₹75.

It brings our **break-even point to 25,075 (Strike price of call bought + Net premium paid).**

Since the lot size is 75, our **maximum risk is ₹5,625 (Net premium paid x Lot size).**